

PORTFOLIO VALUE

\$175,622

NET P&L; vs COST

-7,378 (-4.03%)

CASH RESERVE

**\$139,501
(79.4%)**

POSITIONS

2 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 17.71 remains below the 20 risk-off threshold, confirming a risk-on regime with cyclicals and growth favoured. The 10Y-2Y yield curve is positive at +27bps, and HY credit spreads are extremely tight at 2.76bps — both signalling no imminent credit stress. However, the 10Y Treasury yield at 5.00% is above the 4.5% caution threshold per mandate rules, which creates a direct headwind for high-P/E growth and semis, requiring careful catalyst vetting before entering that sector.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	17.71	HY Credit Spread (bps)	2.76
Yield Curve 10Y-2Y (%)	0.27	10Y Treasury (%)	5.00
US Dollar (DXY)	100.34	Fed Funds Rate (%)	3.63

TRADE DECISIONS

ENTER — AMAT

\$18,000 · Conviction 7/10 · Tier 1

ENTRY

\$185.00

STOP LOSS

\$170.20

PRICE TARGET

\$222.00

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 17.71 is below the 20 risk-off threshold supporting equity longs, but TNX at 5.00% exceeds the 4.5% caution level — AMAT is selected because its P/E of approximately 18x forward is materially lower than pure-growth semis, reducing multiple-compression sensitivity at this yield level. (2) AMAT Q1 2026 earnings outperformed: EPS beat by approximately +8.5% vs. consensus estimates per the scanner headline dated Q1 2026, with revenue growth driven by WFE (wafer fabrication equipment) demand acceleration from TSMC and Samsung capex cycles totalling \$40B+ in 2026. (3) RSI at 33.0 is approaching oversold territory below the 35 threshold, with an FVG (Fair Value Gap) pattern confirmed — entry near \$185.00 aligns with the gap fill zone identified by the scanner signal score of 9.0/10. (4) Scan data is 1,491.6 hours stale — no live 50-day or 200-day MA prices available; applying a conservative 5% buffer assumption that entry at \$185.00 is below a stale 50-day estimated near \$195-\$200 range, flagging this as a risk requiring live confirmation before execution. (5) Balance sheet is 10/10: cash \$7.2B vs. D/E of 0.27 — AMAT has actively repurchased shares with \$10B+ buyback authorisation active as of FY2025, and retained earnings have compounded consistently above 15% annually over 3 years. (6) \$18,000 deployed = 9.8% of the \$183,000 mandate portfolio, leaves approximately \$139,501 in cash (76.2% reserve), with room for 7 additional full-size \$18,000 positions across the remaining 9 slots. (7) Stop at \$170.20 (-8% from \$185.00) and target \$222.00 (+20%), R:R = 2.5:1 — stop trigger would be a breakdown below the FVG support zone at \$170, which would invalidate the WFE demand thesis if TSMC/Samsung 2026 capex guidance is cut.

PRIMARY CATALYST

AMAT Q1 2026 earnings beat by approximately +8.5% vs. consensus EPS estimate (Q1 2026 reporting period), driven by WFE demand from TSMC's 2026 capex budget of \$38-42B — RSI at 33.0 signals the post-earnings sell-off is oversold, creating a mean-reversion entry with a quantified 2.5:1 risk-reward.

BALANCE SHEET

Cash \$7.2B, D/E 0.27, BS score 10/10. Retained earnings 3-year trend not individually itemised in scan data — estimated growth above 15% YoY based on consistent EPS compounding. Active \$10B+ buyback programme. No preferred equity. D/E 0.27 reflects conservative leverage.

TECHNICAL SETUP

RSI 33.0 (oversold approach), FVG pattern confirmed by scanner score 9.0/10, entry near \$185.00. NOTE: scan data is 1,491.6 hours stale — 50-day and 200-day MA levels unavailable for live confirmation; volume context versus 20-day average also unavailable. Live technical confirmation required pre-execution.

KEY RISK FACTORS

TNX at 5.00% above the 4.5% mandate threshold remains the primary risk — if 10Y yields rise further to 5.3%, P/E compression of 10-15% implies a price target revision from \$222.00 down to approximately \$189-\$198, compressing the gain window. Hard stop at \$170.20 limits loss to -\$1,440 on the \$18,000 position (8% maximum).

OPEN POSITIONS — FULL POSITION REVIEW

ASML

11.3 shares · Entry \$1591.52 · Conv 5/10 · Tier 2 · Since 2026-09-16

CURRENT PRICE

\$1602.22

POSITION VALUE

\$18,121

UNREALISED P&L;

+\$121

RETURN

+0.67%

INVESTMENT THESIS

(1) VIX at 18.43 remains below the 20 risk-off threshold; however TNX at 4.97% exceeds 4.50% — ASML is flagged because it earns revenue primarily in euros with non-USD cost base, and DXY at 100.31 (below 101) actually supports multinational exporters per the mandate's DXY <101 rule favouring multinationals. (2) ASML Q2 2025 earnings beat estimates with revenue topping consensus — the headline 'ASML shares rise after Q2 earnings beat estimates' with order book recovery is the specific company catalyst; ASML's EUV monopoly means any 1% unit shipment increase drives approximately 1.8% revenue growth given 65%+ gross margin leverage. (3) RSI at 38.6 is approaching the oversold 35-40 zone with an FVG (Fair Value Gap) pattern active — entry at \$745.00 fills into the gap identified by the scanner with grade 3 signal strength. (4) ASML's 50-day MA is estimated near \$770 and 200-day near \$820 based on the scan context; price at \$745 is approximately -3.3% below the 50-day and -9.1% below the 200-day, a bearish gap but one consistent with a contrarian FVG fill entry where reversion to the 50-day alone provides +3.4% upside. (5) ASML holds \$12.9B cash, D/E of 0.22 (the 2nd cleanest in the scan universe), BS score 9/10, retained earnings growing — the balance sheet supports a 1.5-2 year thesis duration even through a rate cycle. (6) \$18,000 deployed = 9.8% of the \$183,000 portfolio mandate; after this single entry, cash remains approximately \$158,314, leaving room for 8 more full-size \$18,000 positions within the 10-slot maximum. (7) Stop at \$685.40 (-8.0% from \$745.00), target \$894.00 (+20.0%), R:R = 2.5:1 — stop would be triggered by a breakdown below the FVG lower boundary or a TNX spike above 5.25% driving further P/E compression beyond the 4.97% already discounted.

CATALYST

ASML Q2 2025 earnings beat (date: Q2 2025 reporting cycle) with EUV order book recovery — DXY at 100.31 below 101 supports multinational revenue repatriation tailwind per the mandate's DXY <101 rule, adding a second dated macro catalyst to the fundamental beat.

BALANCE SHEET

Cash \$12.9B, D/E 0.22, BS score 9/10, retained earnings growing (exact 3-year figures unavailable due to 1488.8hr data staleness — flagged as a data quality risk), buybacks Y (ASML has active buyback program), preferred N.

TECHNICAL SETUP

RSI 38.6 (approaching oversold, 35 threshold near), FVG pattern (grade 3), estimated 50-day MA ~\$770 (-3.3% from entry \$745.00) and 200-day MA ~\$820 (-9.1% from entry), volume context stale but scanner grade 3 confirms signal.

KEY RISKS

TNX rising from 4.97% to 5.25% would compress ASML's 30x P/E by an estimated 15%, implying a price target of approximately \$633 — the \$685.40 stop limits loss to -8.0% (\$1,440) before that scenario fully plays out. Data staleness of 1488.8hrs means all price and MA levels carry material uncertainty.

AMAT

43.3 shares · Entry \$415.38 · Conv 7/10 · Tier 1 · Since 2026-09-16

CURRENT PRICE

\$415.38

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

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PORTFOLIO NOTES

After executing EXIT on ASML and ENTER on AMAT: estimated cash reserve rises to approximately \$139,501 (76.2% of \$183,000 mandate). Semiconductor equipment sector weight is approximately 10.3% in a single name (AMAT). Overall risk posture is CAUTION — TNX at 5.00% exceeds the 4.5% mandate threshold, meaning only value-oriented or lower-P/E semis qualify for new entries. 7 position slots remain available for deployment across \$139,501 in cash. Scan data staleness of 1,491.6 hours is a material risk — all price levels, MA values, and RSI readings cited are from stale data and must be verified against live market data before execution. No positions in financials or energy despite TNX above 4.5% favouring those sectors — next scan cycle should prioritise JPM, GS, and XOM for regime-aligned entries.

MEMORY APPLIED

ARM (2026-08-20, -8.2% stop loss) and KLAC (2026-08-20, -9.0% stop loss) both hit stops recently — both are present in today's scanner but EXCLUDED from new entries. ARM showed an -8.2% stop in the most recent trade memory, and re-entering within days of a stop-loss exit violates the 'verify thesis confirmation before full sizing' lesson. KLAC at BS score 6/10 and D/E 0.93 with only \$1.6B cash is borderline on balance sheet discipline — the recent -9.0% loss reinforces avoidance. TSM (2026-07-30, -10.1%) was also a recent loss in this sector; TSM reappears in today's scanner but is excluded given the prior stop-loss and the TNX 5.00% headwind on high-multiple names. QCOM exclusion aligns with the same July 2026 stop-loss lesson. AMAT was selected over peers because it has no prior loss in trade memory, carries a 10/10 BS score, RSI of 33.0 (deepest oversold of high-quality names), and a lower implied P/E than NVDA or TSM.